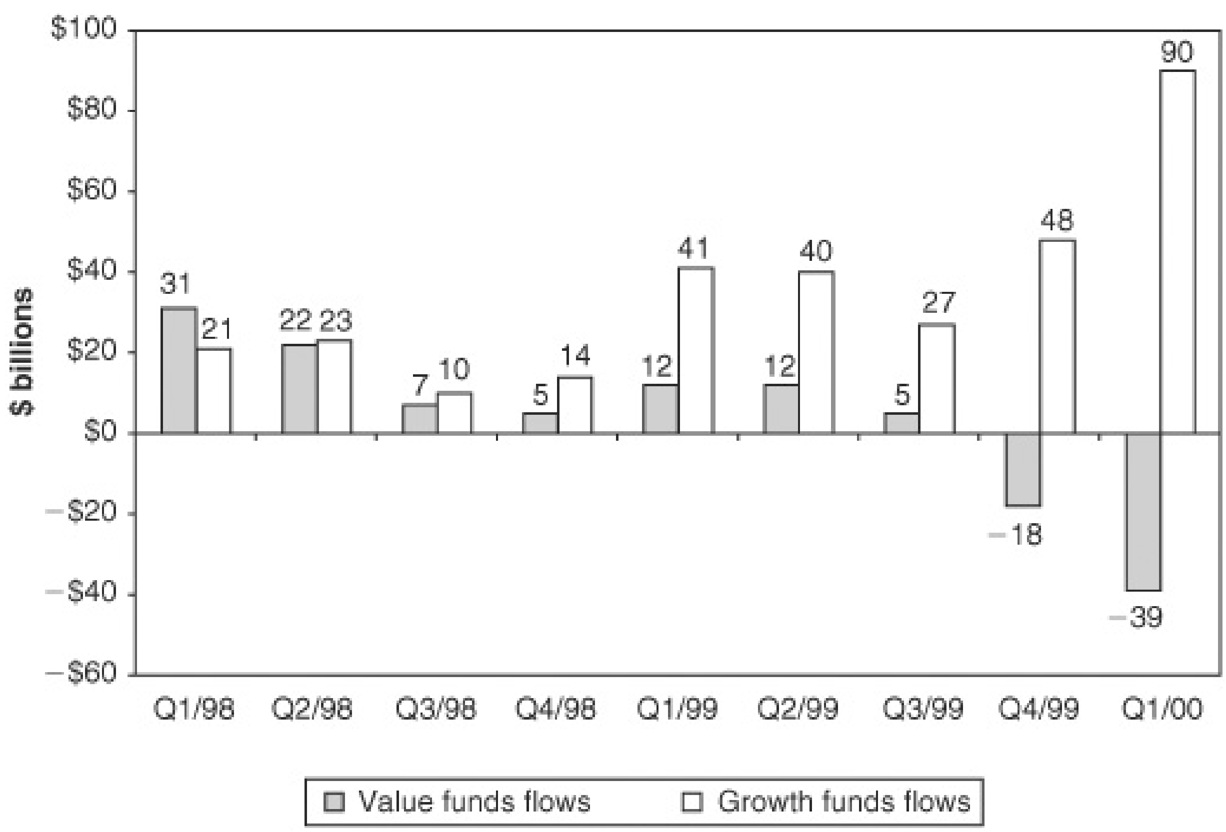
and into growth funds. Figure 5-1 illustrates this massive transfer of capital.

Mutual fund companies were quick to deliver new funds that whetted investors' appetites. Figure 5-2 illustrates the large number of new growth funds that opened during the late 1990s compared to the small number of conservative value funds that opened at the same time. When growth stocks fell sharply after 2000, portfolios that held several overlapping growth funds were devastated. Diversification does not simply mean owning several mutual funds with different names. The underlying assets in those funds need to be examined and compared using Morningstar style boxes or some other method discussed in the following chapters.

FIGURE 5-1

Quarterly Money Flow into Growth Funds and Value Funds



Some securities overlap can exist among mutual funds in your portfolio as long as you know it exists. For example, the S&P 500 is composed of predominantly large-company stocks, although there are also several midcap stocks and a few small stocks in the index. There would be some